

Attitude to Risk Assessment

Client: **Mrs Katherine Chen** Adviser: **John Smith, DipPFS** Assessment date: 14 March 2026
Questionnaire: Dynamic Planner v20

1. Questionnaire Result

Score: **54 / 100**. Category: **Moderate (3 of 5)**. Result valid for 12 months to 14 March 2027.

A Moderate risk profile is willing to accept some volatility in exchange for growth potential above cash. Typical short-term loss tolerance ~15–20% of invested capital.

2. Key Questionnaire Responses

Question	Response
How would you feel if your investments fell 25% over 6 months?	I would be uncomfortable but would not sell.
What is your typical reaction to investment losses?	Review but usually hold.
How important is capital preservation vs growth?	Balanced — both matter.
How long do you expect to invest this money for?	10+ years with some access needed along the way.
How much experience do you have with investments?	Moderate — held an ISA for 18 years.

3. Discussion of Result

The Moderate result was discussed with the client. She agreed it matched her own view of her risk attitude. Specifically:

- She is not a cautious investor — she has held equity ISAs for 18 years and is comfortable with the idea of market fluctuation.
- She is not an aggressive investor — she does not want to chase returns and would not be comfortable with concentrated or thematic holdings.
- She accepts that a short-term fall of 20% is possible and would not cause her to sell.
- She would not be comfortable with a 40%+ fall — that would cause her to reassess.

4. Mapped Portfolio

A Moderate ATR maps to Helios Model Portfolio 3 (of 5): 55% global equities, 35% investment-grade bonds, 10% diversifying assets. Historic 1-in-20-year drawdown approximately -22%.

5. Capacity for Loss (cross-reference)

Capacity for loss is assessed separately in the Fact Find section 4.2. Summary: client can absorb a 20% fall (£36,680) without affecting her retirement plans. A 40%+ fall would force her to reduce discretionary travel spending but not essential income — household essential outgoings are met by her spouse's DB pension and her State Pension independent of this fund.

Signed (client): K. Chen **Date:** 14 March 2026